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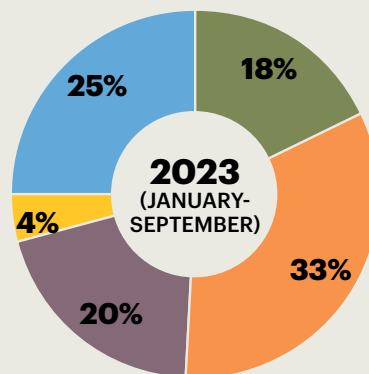
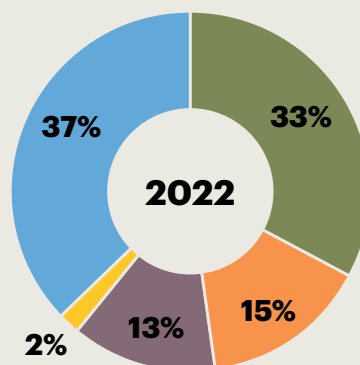
A CITY ONCE considered an underdog now stands tall. In India's highly competitive office real estate market, which has traditionally been dominated by cities like Mumbai, Delhi-NCR, Bengaluru and Hyderabad, a new protagonist is emerging—Chennai. “It is the only city that has seen growth in the office [real estate] markets this year so far,” says Chandrakant Kankaria, Joint MD of Olympia Group, which is coming up with a 1.2 million sq. ft (msf) tech park in prime Chennai office locality Guindy.

114 | The numbers bear out Chennai's rise. With an uptake of 6.5 msf of office space in the first nine months of 2023 between January and September, Chennai has not just surpassed its entire 2022 consumption but stands shoulder-to-shoulder with major markets like Mumbai (5.6 msf), Delhi-NCR (6.5 msf), Bengaluru (10.6 msf) and Hyderabad (6.6 msf), per data from commercial real estate services and investment firm CBRE. In fact, the city accounted for 15 per cent of India's total office space absorption during this period. “Despite global headwinds, Chennai's office market has shown resilience, which is evident through the 2 msf office space it absorbed in July-September 2023, a 58 per cent year-on-year increase,” says Anshuman Magazine, Chairman & CEO-India, South-East Asia, Middle East & Africa of CBRE.

Traditionally overlooked in the office real estate domain and often regarded as a secondary option, the southern city is experiencing what Shrikant Joshi, CEO and MD of L&T Realty, says is an escalating demand for modern office spaces. The company is developing a 10-tower L&T Innovation Campus in Manapakkam on Mount-Poonamallee Road, spanning 5.5 msf. “Clients increasingly demand spaces that seamlessly integrate advanced digital connectivity, top-tier office certifications and sustainable features. This involves creating office spaces that adhere to plat-

SPACE AND THE CITY

▶ The IT sector isn't the only one driving demand for office space in Chennai; even legacy firms are securing substantial office spaces



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inum-rated green building standards and have multi-cuisine F&B and WELL certifications, ensuring not only quality but also occupant health,” he says. WELL certification is a global rating system for buildings that promotes the health and well-being of occupants.

Major real estate developers—both regional and pan-Indian—such as L&T Realty, DLF, RMZ and Olympia Group, are developing expansive office spaces in the city, while leading MNCs in the IT, BFSI (banking, financial services and insurance) sectors, global capability centres (GCC), and even legacy Chennai firms are securing substantial office spaces. Several factors, such as a thriving economy, a large pool of skilled talent, robust infrastructure, and far lower rental costs compared to its competitors, are adding to the city's allure.

While the IT industry is typically the largest con-